

can look at any government website or look at cost inflation index figures to get an approximate idea of the average rate of inflation over the last few years. Cost Inflation Index (CII) figures are also available in Chapter 2 of this book

- Your monthly expenses will increase with inflation every year and are therefore automatically deducted accordingly from the nest egg while creating your plan

3. Last year of life

- Well, let us face it. You have to plan how long you are going to live
- This has a big impact on the nest that you need to accumulate since the nest egg must be large enough to serve you until the end of your life
- Assume an average life span based on your country or city. To be on the safer side, assume at least 5–7 years on the higher side so that you have enough money in case you live longer than planned. And you won't mind living longer, right?

4. Monthly expenses today (at Post Freedom venue)

- We already calculated the monthly expenses in Step 1. We can use the data from there. The monthly living expenses ensure that you maintain your current standard of living throughout your freedom years. Your monthly expenses will be extrapolated automatically in the Step 3 worksheet to adjust for inflation and arrive at the inflated expenses
- These expenses further keep increasing each year during your financial freedom until the end of your life, depending on the annual inflation rate that we had earlier considered
- Remember that the monthly expenses must be considered at the 'post freedom' venue. If you intend to continue to stay in your current city/house post financial freedom, then the current monthly expenses (as calculated in Step 1 should be good enough). Some of our readers and freedom seekers do intend to go back